

BUSINESS - Uganda Revenue Authority

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February 2, 2026

Agribusiness (short for **agricultural business**) refers to all the activities involved in the production, processing, distribution, and marketing of agricultural products. It covers the entire value chain from the farm to the final consumer.

Agribusiness is a sector that combines agriculture and commerce by including all commercial activities related to food, fiber, and other agricultural products, from production and processing to distribution and retail. It encompasses a wide range of enterprises, such as farm equipment manufacturers, seed suppliers, processors, distributors, and retailers. By applying business principles to agricultural activities, agribusiness aims to improve efficiency, profitability, and sustainability, while ensuring food security and supporting economic growth

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What are the components of Agribusiness?

Agribusiness covers the entire agricultural value chain, including:

- **Production Inputs:** Manufacturing and supplying equipment, seeds, and agrochemical.
- **Farming:** Crop cultivation and livestock farming.
- **Processing:** Transforming raw agricultural products into consumer goods (e.g. maize into flour, milk into yogurt).
- **Distribution:** Wholesale and retail operations, including logistics and supply chain management.
- **Support Services:** Agro-services like market analysis, finance, insurance, extension services, and technology for farmers, as well as farmer support and organizations.

Agricultural Inputs – businesses that supply seeds, fertilizers, pesticides, machinery, and animal feeds.

What are the rights and obligations of a taxpayer in Agri business?

Your rights as a taxpayer	Your obligations as a taxpayer
Right to equity and fair treatment before the law.	Ensure that you voluntarily register with the Uganda Revenue Authority as a taxpayer.
Tax laws and procedures shall be applied consistently to you	File correct tax returns, customs entries, or any forms relating to taxes and other revenue.
All your tax affairs shall be handled with impartiality.	Pay the correct tax within the stipulated timelines as required by the relevant laws.
You and your agent(s) shall be presumed honest until proven otherwise.	Be honest when dealing with URA.
Your tax affairs shall be kept secret, and tax information in our possession shall be applied in accordance with the law.	In handling your tax matters, you and or your appointed agent(s) shall be expected to deal and cooperate only with the Authority's authorized staff.
You and your authorized agent(s) shall be provided with clear, precise, and timely information.	Quote your Taxpayer Identification Number (TIN) for all dealings with URA.
You shall always pay the correct tax.	Do not involve yourself in any form of tax evasion or other illegal practices.

You will receive courteous and professional services at all times.	When you are importing or exporting cargo, employ the services of a licensed customs agent to complete customs entries and related clearance formalities.
You will receive timely, clear, and accurate responses to your enquiries, complaints, and requests.	Make full disclosure of information and correct declaration of all transactions at all times.
You will be provided with reasons for any decision taken.	Beware of and comply with customs quarantine, wildlife, currency, and passenger concession.
You shall be sensitized about your tax obligations	Declare your goods on arrival and have them ready for inspection
Your tax objections shall be attended to in accordance with the relevant laws & procedures.	Treat URA staff fairly and with respect.
You shall be facilitated to exercise your right (s) of appeal both within the organization and to an independent tax tribunal in accordance with the law.	
You shall be given prior notice whenever your premises are to be subjected to routine inspection or if an audit is to be conducted.	

How can an agri-business dealer ensure compliance?

In Uganda, **every agribusiness dealer (whether a farmer, processor, trader, exporter, or input supplier)** who earns income from agricultural activities **is** required to

be registered with;

- Uganda Registration Services Bureau (URSB) for Company registration or a Certificate of registration if you're an individual.
- Uganda Revenue Authority (URA) for taxes

What does one need to register for taxes?

For individuals

- A National ID or any other two of the following valid identification documents: Passport, Driving permit, Voter's card, Village ID, Employment ID, Refugee ID, recent Bank statement, Work permit, financial card, Visa, NSSF card, etc.
- A Certificate of registration (in case one is in business)
- Statement of particulars and partnership deeds (in case of a partnership)

For non-individual

- Company Form 20
- Certificate of incorporation

How does one register their agri-business for taxes?

- You're required to visit the URA portal on ura.go.ug
- [Click here](#) to register as an individual
- [Click here](#) to register as a non-individual

2. RECORD KEEPING

Agri business dealers have to keep records relating to all their transactions. It is important to always have records that are dated so that you can understand which reports relate to what period. These include;

- Income statement records
- Receipt and invoice records
- Payment vouchers
- Import schedules in case you're an importer
- Contracts executed
- Bank statements

- Appointment letters for your employees and proof of payment of their salaries
- Utility bills
- Stock records
- Debtors and Creditors

What do agri-business dealers need to know about record-keeping?

It is very important for taxpayers to;

- Keep proper records of all business transactions in the English language;
- Keep records such that it is easy to determine your tax liability;
- Keep records for five years after the end of every tax period to which they relate for future reference.
- In case a record is necessary for a proceeding that started before the end of the 5-year period, a taxpayer shall keep the record until the end of the proceedings.
- The records kept should contain sufficient transaction information and should be saved in a format that is capable of being recovered and converted to a standard understandable record format.
- A taxpayer who wishes to keep records in a different language or currency shall apply to URA in writing with clear reasons to the commissioner.
- Where a record is not in English, the taxpayer will be required to meet the cost of translation into English by a translator approved by the Commissioner.
- However, the taxpayer shall file a tax return or provide other correspondence with the Commissioner in English.

What is the penalty for failure to maintain proper records?

The penalty for knowingly or recklessly or not failing to maintain records as required under any tax law is a fine not exceeding Shs. 2,000,000 or imprisonment not exceeding six years or both on conviction.

Note: A taxpayer who cannot effectively handle their tax matters can appoint a tax agent to transact with URA on his/her behalf

3. FILING TAX RETURNS

A tax return is a declaration in a form prescribed by the Commissioner, on which a taxpayer reports his or her income for the tax period as a way of self-assessment for taxation purposes. A taxpayer registered with URA for any tax type other than Pay as you earn (PAYE) must submit a return for the tax period as per the respective tax law.

A tax period is the duration for which a return is required i.e. a year, month or week. A due date is the deadline for filing a return beyond which a person is required to pay a penalty. Returns are filed online using URA's electronic filing platform.

Return type	Due date and filing remarks
Income tax	• Every taxpayer is required to furnish a return of the provisional tax estimate (i) For non-individuals: On or before the last day of the sixth and twelfth month of the year of income in respect to the taxpayer's liability. (ii) For individuals: On or before the last day of the third, sixth, ninth and twelfth month of the year of income in respect of a taxpayer's liability.
	• All taxpayers are required to submit final Income tax returns (including rental income returns where applicable) for each year of income not later than the sixth month after the end of the year of income. Those with an annual turnover above 500 million shillings must file their income tax returns with audited financial statements prepared by an accountant registered by the Institute of Certified Public Accountants of Uganda.
VAT	• All VAT registered taxpayers are required to submit Value Added Tax returns (VAT) for each month by the 15th day of the following month.

PAYE	All PAYE registered taxpayers are required to submit Pay As You Earn (PAYE) tax returns for each month by the 15th day of the following month.
Excise duty	All taxpayers registered for Excise duty are required to file Excise duty returns for each month by the 15th day of the following month.
Withholding Tax	All designated taxpayers registered for withholding tax are required to file WHT returns for each month by the 15th day of the following month. This also applies to payment for purchase of business asset, professional services whether designated or not
Others	In case of any return required to be submitted under the tax law, it must be done within the specified period under the tax law.

Note

1. All tax returns must be submitted in the prescribed format, and the commissioner can appoint any other person to assist a taxpayer who fails to file at his/her cost.
2. The law provides for a separate quarterly return for non-resident suppliers of services deemed to be supplied in Uganda when made to non-taxable persons.

How does one file returns for agribusiness?

This depends on the type of return and the type of taxes an agribusiness is registered for.

- Visit the URA website at ura.go.ug
- Click file a return

Downloading a return template

Please follow the steps below to download the template;

- Go to our website www.ura.go.ug, scroll down the home page, go to the download online forms
- Click and download the preferred return form under the e-form column.
- Save the template in its system downloaded name, and open and enable macros using the Help tab in the template.
- Fill in the required details, go to the last page, click on the VALIDATE button to generate an upload file, and save it in its system-generated name.

4. PAYMENT OF TAX

After filing a return, you're required to pay the resultant tax using any of the available payment platforms, e.g., banks, mobile money, EFT, RTGS, VISA, Mastercard, USSD code (*285#), etc.

Please note: the due date for payment of tax is the same as that of return filing.

Steps to register a payment

Step i: Visit the URA web portal <https://ura.go.ug> and on the home page, click **Make a payment**

Step ii: From the menu on the left hand side, click **Generate a payment slip** and select **Click here to register a payment**

Step iii: On the payment registration page;

- Under Taxpayer details, **provide the taxpayer TIN , taxpayer name and district/city**
- Under period selection, **select the tax period for which you are making payment**
- Under basis of payment, **select the applicable basis of payment**

Step iv: Under payment details>>**Tax head**, **select the correct tax head** for which you want to make payment e.g. income tax and click on load periods

Step v: Under load periods, **fill in the period for which you are making payment** and click **Add period**

Step vi: Next, **fill in the amount to pay**

Step vii: Under payment methods, enter text from the given image and **click Accept and Register.**

Step viii: Once you have submitted, **the payment registration slip will be generated.** Take note of the payment registration number that is indicated on the payment registration slip or print the slip and make payment in the bank or via mobile money or any other URA payment modes.

What are the taxes applicable to an agribusiness?

Persons involved in agribusiness must register for income tax, if they earn income. Income tax generally applies to all types of persons who earn income, whether they are individuals, non-individuals, or partnerships.

- Resident persons are taxed on worldwide income, while non-resident persons are taxed only on income derived from sources in Uganda.
- The taxpayer is required to make a self-assessment by calculating taxable income and then calculating the tax due on that income. The taxpayer's calculations are reviewed by revenue officials when returns are filed to ensure that the declarations made are correct. The income tax rates apply differently to;

1. Individuals
2. Non-individuals

The income tax rate for individuals depends on the income bracket in which the individual falls. Resident individuals enjoy a tax-free annual income threshold of UGX 2,820,000 per annum. The balance is taxed at 10%, 20% or 30% depending on the income bracket. Individuals who earn above UGX 120,000,000 per annum pay an additional 10% on the income above UGX 120 million.

Rate of tax for Resident individuals

ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Residents
Not exceeding Ushs. 2,820,000 Per annum.	Nil

Exceeding Ushs.2,820,000 but not exceeding 4,020,000 per annum	$(CY - 2,820,000UGX) \times 10\%$
Exceeding Ushs.4,020,000 but not exceeding 4,920,000 per annum	$(CY - 4,020,000UGX) \times 20\% + 120,000UGX$
a) Exceeding Ushs 4,920,000 per annum	a) $(CY - 4,920,000UGX) \times 30\% + 300,000UGX$
b) Above 120,000,000 per annum	b) $[(CY - 4,920,000UGX) \times 30\% + 300,000UGX] + [(CY - 120,000,000UGX) \times 10\%]$

Rate of tax for Non-Resident individuals

ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Non-Residents
Not exceeding Ushs.4,020,000 per annum	10%
Exceeding Ushs.4,020,000 but not exceeding Ushs.4,920,000 per annum	$(CY - 4,020,000UGX) \times 20\% + 402,000$
a) Exceeding Ushs.4,920,000 per annum	a) $(CY - 4,920,000UGX) \times 30\% + 582,000UGX$
b) Above 120,000,000	b) $[(CY - 4,920,000UGX) \times 30\% + 582,000UGX]$ $+ [(CY - 120,000,000UGX) \times 10\%]$

N.B. CY represents chargeable income

1. Non-Individual Income tax

This is imposed on all corporate entities (Companies) in the agribusiness sector. Income Tax is charged at a rate of 30% on the profits from business (Chargeable Income).

Pay As You Earn (PAYE)

Any person dealing in commercial agribusiness who offers employment is required to be registered for Pay As You Earn (PAYE).

Employment income includes gross cash received in the form of: salary, leave pay, payment instead of leave, overtime pay, fees, commission, gratuity, bonus, allowances (entertainment, duty, utility, welfare, housing, medical, sitting, transport, or any other allowances).

Benefits in kind include use of the employer's office, Motor vehicle for personal errands, free accommodation, use of a driver, domestic workers, and free utilities (power, water) paid by the employer on behalf of the employee. The benefits in kind are computed using particular formulae in the 3rd Schedule of the Income Tax Act.

PAYE is tax withheld from all employees earning a salary income above the stated threshold as per the Income Tax Act and filed by the employer to URA by the 15th of the following month.

The PAYE rates are applied based on the person's resident status as shown in the tables below.

MONTHLY CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Residents
Not exceeding Ushs. 235,000 Per Month.	Nil
Exceeding Ushs.235,000 but not exceeding Ushs. 335,000 per month	$(CY - 235,000UGX) \times 10\%$

Exceeding Ushs.335,000 but not exceeding Ushs. 410,000 per month	$(CY - 335,000UGX) \times 20\% + 10,000UGX$
a) Exceeding Ushs 410,000 per month	a. $(CY - 410,000UGX) \times 30\% + 25,000UGX$
b) Above Ushs.10,000,000 per month	b. $[(CY - 410,000UGX) \times 30\% + 25,000UGX] + [(CY - 10,000,000UGX) \times 10\%]$

PAYE tax rates for Non-Resident individuals

MONTHLY CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Non-Residents
Not exceeding Ushs.335,000 per month	10%
Exceeding Ushs.335,000 but not exceeding Ushs.410,000 per month	$(CY - 335,000UGX) \times 20\% + 33,500 UGX$
a) Exceeding Ushs.410,000 per month	a) $(CY - 410,000UGX) \times 30\% + 48,500 UGX$
b) Above 10,000,000	b) $[(CY - 410,000UGX) \times 30\% + 48,500UGX] + [(CY - 10,000,000UGX) \times 10\%]$

Withholding tax (WHT) is income tax that is withheld at source by one person (withholding agent) upon making payment to another person (payee). This tax is payable by an agribusiness dealer who deals in agro-processed products, at a rate of 6% when such goods are supplied to a designated withholding agent. Tax is withheld when such a supply exceeds UGX 1,000,000, a month.

Please note that withholding tax of 6% does not apply to agricultural supplies.

Withholding taxes may be final or creditable.

- Under the final withholding tax system, the amount of income tax withheld by the withholding agent constitutes a full and final payment of the income tax due from the payee on the said income. The payee is not required to file an income tax return for the particular income that has been subject to final withholding tax and does not qualify for an allowable deduction on the expenditures incurred in generating the income.
- Under the creditable withholding tax system, taxes withheld on certain income payments are advance tax payments, which are offset against a final tax liability in an assessment for a particular year of income. The payee is required to file an income tax return to report the income and/or pay the difference between the tax withheld and the tax due on the income.

WHT should be considered when making the following payments:

1. **International payments:** Tax is imposed on every non-resident person who derives any dividend, interest, royalty, natural resource payment, or management charge from sources in Uganda. The tax is withheld by the payer at the rate of 15% on the gross amount before payment.
2. **Payments to non-resident Contractors or professionals:** Tax is imposed on every non-resident person deriving income under a Ugandan source service contract. The tax is charged at 15% of the gross amount of payment, and the person making the payment should withhold the relevant tax before effecting the payment.

Payments on dividends: A resident company that pays a dividend to a resident shareholder is required to withhold tax at 15% of the gross amount of the dividend paid, except where the dividend income is exempt from tax in the hands of the shareholder. However, where the dividend is paid by a company listed on the stock exchange to a resident shareholder, the rate is 10% on the gross amount.

Please note;

- The responsibility for payment of the WHT rests primarily on the person making payment as a withholding agent, and failure to remit will render the withholding agent liable for the tax due.
- A WHT Agent is required to file and pay the tax withheld within 15 days after the end of the month in which the payment subject to withholding tax was made by the WHT Agent.

VAT is an indirect tax on consumption charged on value added to taxable supplies at different stages in the chain of production and distribution.

Taxable supplies are goods or services supplied by a taxable person, i.e., persons registered or required to register for VAT purposes. These are either Standard-rated at 18% VAT or Zero-rated at 0% VAT

The threshold for VAT registration is Shs. 150 million annually. However, you are required to be registered for VAT when you make taxable supplies exceeding 37.5 million in any 3 consecutive calendar months..

Please note:

1. Persons dealing in taxable supplies with a gross turnover of over 150 million are required to register for VAT.
2. Traders dealing in livestock, unprocessed foodstuffs and unprocessed agricultural products except wheat grain are not subject to Value Added Tax (VAT)
3. Commercial farmers may register for VAT to enable them to claim a refund of VAT on inputs used in the farm.
4. Those on VAT are required to use the Electronic Fiscal Receipting and Invoicing Solution – EFRIS, to issue receipts and e-invoices.

For more clarification please contact us on our Toll-free line at 0800117000 or 0417444602 and 0417444603 (Not toll-free); or send an email to services@ura.go.ug